

IWM RUSSELL 2000 SCANNER

SCAN (19:56 ET)

May 18, 2026 | 07:58 PM ET

4 setups identified | 0 A-Grade | 2 B-Grade | 2 C-Grade

Grade Summary

A - Breakout Setup (0)	B - Strong Setup (2)	C - Watch List (2)
	KGS	SLNO
	SDRL	VCYT

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
B	KGS	Kodiak Gas Servi	Energy Infrastruc	\$75.78	+3.1%	\$6.7B	88M	+42.2	99%	KGS is breaking out to
B	SDRL	Seadrill Limited	Offshore Drilling	\$54.80	+4.0%	\$3.4B	58M	+17.2	99%	SDRL is pushing to 52-
C	SLNO	Soleno Therapeut	Rare Disease Biot	\$53.01	+0.0%	\$2.8B	52M	+29.8	59%	
C	VCYT	Veracyte, Inc.	Genomic Diagnosti	\$41.50	+7.8%	\$3.3B	79M	+5.4	82%	

KGS

Kodiak Gas Services, Inc.

\$75.78

+3.12%

RS vs SPY: +42.2%

B STRONG SETUP

\$6.7B Cap | 88M Float

Oil & Gas Equipment & Services | Theme: Energy Infrastructure Services | 52W Hi: 99% | Base Tight: 2.62 | Vol: 2.01x | RS/SPY: +42.2% | Above 20MA: YES | EARNINGS IN 79D

SETUP METRICS	
Price	\$75.78
Day Change	+3.12%
Mkt Cap	\$6.73B
Float	88M sh
RS vs SPY	+42.2%
52W Hi Prox	99%
Base Tight	2.62
Vol vs Avg	2.01x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
KGS is breaking out to 52-week highs on sector momentum driven by the Energy sector's +8.4% outperformance vs SPY and rising demand for contract compression services in Permian/Haynesville basins. Forward catalyst: next earnings print August 5 (79 days) represents the next hard event for re-rating; any incremental contract announcements, dividend hike, or guidance raise in the interim can extend the move.
BUSINESS & POSITION
Kodiak Gas Services is the largest pure-play contract compression provider in the U.S., operating large-horsepower compression assets on a fee-based model for upstream and midstream customers in high-activity basins including the Permian and Haynesville. Its asset-heavy, long-term contracted revenue model generates predictable EBITDA with strong FCF conversion, supporting its dividend and debt paydown narrative.
FACTOR & THEME
Direct beneficiary of U.S. natural gas infrastructure buildout and LNG export-driven production growth, both secular themes accelerating through 2026-2027. As AI data center electricity demand pulls incremental gas generation capacity, compression service demand in gas-rich basins structurally strengthens - a second-derivative AI infrastructure play.
BREAKOUT SIGNAL
Close above \$75.78 (near 52W high of \$76.68) on vol >200% of 20d avg; a clean close above \$76.68 on similar volume confirms full breakout
INSTITUTIONAL
Institutional ownership data is not available from this feed; recommend cross-referencing 13F filings for current holder base. No insider open-market buys in the last 60 days per Form 4 data (insider_count = 0); no broader 12-month insider buy data provided. Vol_ratio of 2.01x on a day the Energy sector is leading suggests institutional sector rotation rather than retail FOMO, given the fee-based midstream profile attracts income-oriented institutional capital.
EARNINGS
EARNINGS IN 79D
EARNINGS CONTEXT
Next earnings August 5. No consensus EPS/revenue data provided in this feed. KGS has demonstrated consistent EBITDA growth since its 2023 IPO; the key metric to watch is compression utilization rate and any guidance on large-horsepower backlog expansion. Beat history not available from this feed - recommend pulling FactSet/Bloomberg for last 4-quarter cadence.
KEY RISK
Thesis invalid on a daily close back below \$72.00 (the prior consolidation zone and approximate 20-day MA support); a natural gas price collapse below \$2.50/MMBtu or a major customer contract non-renewal announced ahead of the August 5 print would also break the fundamental thesis.
ANALYSIS
The strongest disconfirming evidence is the absence of an RS line at a new high (rs_line_new_high = false) and a base_tight of 2.62 - wider than ideal VCP parameters - suggesting this is not a textbook coil breakout but rather a momentum extension in a trending name; the base has not tightened sufficiently to signal quiet institutional absorption ahead of the move. On the bull side, prox_52w of 98.8 is elite, rs_vs_spy of +42.2 over 12 weeks is exceptional leadership, and the stock is breaking to multi-year highs within the week's leading Energy sector. Zero insider activity and no RS line confirmation prevent an A grade despite the powerful price/volume action. Conviction: Medium.
Signal: Close above \$75.78 (near 52W high of \$76.68) on vol >20
Vol vs Avg: 2.01x



SDRL

Seadrill Limited

\$54.80

+3.98%

RS vs SPY: +17.2%

B STRONG SETUP

\$3.4B Cap | 58M Float

Oil & Gas Drilling | Theme: Offshore Drilling Recovery | 52W Hi: 99% | Base Tight: 4.75 | Vol: 1.89x | RS/SPY: +17.2% | Above 20MA: YES | EARNINGS IN 79D

SETUP METRICS	
Price	\$54.80
Day Change	+3.98%
Mkt Cap	\$3.43B
Float	58M sh
RS vs SPY	+17.2%
52W Hi Prox	99%
Base Tight	4.75
Vol vs Avg	1.89x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	-(data lag)

ANALYSIS

CATALYST / TODAY'S DRIVER

SDRL is pushing to 52-week highs on Energy sector leadership and improving offshore drilling dayrate environment; ultra-deepwater contract momentum and potential for new rig deployment announcements are near-term catalysts. Forward catalyst: August 5 earnings (79 days) is the next hard re-rating event; interim contract award announcements or fleet utilization updates could act as episodic catalysts.

BUSINESS & POSITION

Seadrill is a global offshore drilling contractor operating ultra-deepwater drillships and semi-submersibles, serving major international oil companies in high-complexity deepwater environments across the Gulf of Mexico, West Africa, and Brazil. Emerged from Chapter 11 in 2022 with a restructured balance sheet; current thesis rests on dayrate recovery cycle and fleet reactivation economics as deepwater supply remains constrained.

FACTOR & THEME

Pure-play beneficiary of the offshore drilling upcycle driven by sustained \$70+ oil, under-investment in deepwater capacity over 2015-2021, and accelerating NOC capex in Brazil (Petrobras) and West Africa. Deepwater dayrates for ultra-deepwater drillships have recovered materially; the supply/demand imbalance for high-specification rigs remains a multi-year tailwind.

BREAKOUT SIGNAL

Close above \$54.80 (near 52W high of \$55.17) on vol >189% of 20d avg; clean break above \$55.17 on sustained volume confirms all-time post-restructuring breakout

INSTITUTIONAL

Institutional ownership data is not available from this feed; cross-reference 13F filings. No insider open-market buys in the last 60 days (insider_count = 0). Float of 57.5M shares is relatively tight; a vol_ratio of 1.89x on a sector-momentum day with prox_52w at 99.3 suggests positioning by energy-focused institutional funds rotating into offshore names, though the wide base (4.75) reduces confidence in quiet absorption.

EARNINGS

EARNINGS IN 79D

EARNINGS CONTEXT

Next earnings August 5. No consensus EPS/revenue data provided in this feed. Key metrics: fleet utilization, contracted dayrate backlog, and any new contract announcements. Seadrill's post-restructuring earnings history is short; recommend FactSet/Bloomberg for last 2-4 quarter beat/miss cadence.

KEY RISK

Thesis invalid on a daily close back below \$51.00 (recent consolidation support); an oil price breakdown below \$65/bbl WTI or a major contract cancellation/deferral announcement would fundamentally impair the dayrate recovery thesis, and SDRL's post-bankruptcy balance sheet leaves limited cushion for a prolonged downturn.

ANALYSIS

The most powerful disconfirming evidence is the base_tight of 4.75 - one of the widest in this scan - indicating this is a volatile, choppy trending stock rather than a coiled setup; wide bases produce lower-quality breakouts with elevated whipsaw risk, and rs_line_new_high is false, confirming the RS line has not confirmed new leadership. The bull case is legitimate: prox_52w of 99.3 is at the top of the range, rs_vs_spy of +17.2 shows real outperformance, and the float of 57.5M in a sector-leading week creates genuine squeeze dynamics if institutional energy rotation accelerates. The risk/reward is acceptable but not pristine given the base quality; position sizing should reflect the wide ATR. Conviction: Medium.

Signal: Close above \$54.80 (near 52W high of \$55.17) on vol >18

Vol vs Avg: 1.89x

